

Founder Appendix

(Private)

Version: 1.0 draft, 2026-07-04. **Distribution:** Nikola only. This document holds the internal numbers deliberately excluded from the operating manual: cash position, client financials, margins, CAC derivations, negotiation internals, and hire triggers. Nothing in this file is shared with team, partners, or vendors, in whole or in part.

1. Cash position (as of 2026-07-04)

- Character: a timing gap, not insolvency.
- INTIMI collections: ~\$30k received to date; ~\$40k expected late July 2026; ~\$100k expected shortly after. **Status: hoped for, not certain.** Funded-project risk acknowledged; personal cash is tight until the late-July payment lands.
- Possible upside: additional Shane payments if Paragons Performance and the foundation side accelerate.
- Structural fix on all new deals: deposit-first billing (the 54% signing payment or full prepay). This gap must not recur.
- Standing rule: no plan spends uncollected cash; prepaid delivery obligations are reserved the day cash lands.

2. Client financials and equity ledger

Engagement	Money	Equity / notes
American Paragons / Paragons Performance (Shane)	\$250,000 build, closed	Nikola holds 5% of the umbrella company (also holds Paragons Productions; spans a non-profit and a for-profit). Public disclosure line for co-content: "I hold a small equity stake in Shane's umbrella company." The 5% figure stays private.
INTIMI (Soko Labs)	556k CHF quoted; ~\$30k collected	Under NDA; project expects 8-figure funding; future equity expected for Nikola. Never referenced publicly. Soko Labs / INTIMI is a separate venture; its build counts as Nikolytics delivery track record within NDA limits only. Disclosure scope pending Nikola's conversation with the founder.
Sport Endorse	\$5,000, closed	In-house devs; effectively full LTV collected.
The Players Impact	\$7,500, pending	Same profile.

Pipeline evidence total: ~\$870k closed + quoted. Internal use only.

3. Margin and fulfillment assumptions (all: planning assumptions)

Item	Figure	Note
Flagship fulfillment, all-in	\$35,000	\$30,000 team cost + \$5,000 audit and bonus-delivery reserve. Verify the \$30k figure against real team costs before the first new-system build closes.
Flagship gross profit	~\$215,000	On \$250,000 price
Blueprint fulfillment	\$8,000-\$12,000 (plan at \$12,000)	Senior pair, ~1 week
Blueprint gross profit	~\$13,000	The Blueprint is the burger; the build is the profit
Iteration Week fulfillment	\$8,000	Confirm before the first Block sale (open item)
Extended Shield servicing reserve	\$5,000/year	Tenth-seat load
Engine cycle fulfillment	\$4,000	Per 4-week cycle
Warm CAC	\$5,000	Placeholder until measured
Blended LTGP (with 50% Block and 50% Engine attach assumptions)	~\$280,000	Basis for the agency-facing 3:1 floor statements

4. CAC governors (derivations)

The \$100M growth bar: one client's 30-day profit funds getting and servicing two more (cost per next client = CAC + \$35,000 fulfillment).

- Naked build: $215,000 - \text{CAC} \geq 2 \times (\text{CAC} + 35,000) \rightarrow \text{CAC} \leq \text{\textbf{\$48,000}}$.
- With the Traction Block attached (adds \$80,000 revenue, \$21,000 reserve): $\text{CAC} \leq \text{\textbf{\$68,000}}$.
- Blueprint funnel (at the $\geq 60\%$ conversion target): Blueprint CAC $\leq$ ~\$28,800 hard ceiling; \$15,000-\$20,000 working target.
- The 3:1 LTGP:CAC floor sits near \$71,000 (naked) / \$93,000 (blended) and is therefore not the binding constraint; **the governor is**. Paid spend paces to the governor, never to the floor.
- Mark's \$25,000 fee: 8.6:1 against naked-build LTGP; comfortably inside the governor. His legacy ~20% (which would be \$50,000 on a build) passes the 3:1 floor but breaks the \$48k governor; that is the principled basis for the agreed flat structure. Existing 20% arrangement details stay with Nikola and are superseded for Nikolytics builds by the written terms.

5. 30-day cash worksheet (per-client scenarios, honest accounting)

Costs booked in full before any pass is claimed; cash after day 30 is dated, never counted against the 30-day bar. Warm-CAC growth bar: \$80,000 profit per client.

- **A. PIF flagship:** \$250,000 day 0; costs \$40,000; profit **\$210,000** (2.6x the bar; funds ~5 more clients). With the Block closed at day ~25: \$330,000 collected, profit **\$269,000**. Engine at day ~34 handoff takes it to \$410,000 by day 35 (dated as day-35 cash).
- **B. Split-plan flagship:** \$200,000 collected by day 18 (\$135k + \$65k); costs \$40,000; profit **\$160,000** (2.0x; funds ~4). With Block: \$280,000 collected, profit \$219,000.
- **C. Blueprint-first:** conservative \$135,000 collected (\$25k + \$110k net deposit); full costs \$52,000; profit **\$83,000**: a narrow pass against the \$80,000 bar, which is exactly why the ≤ 7 -day Debrief-to-kickoff rule exists. Blueprint that never converts: ~\$8,000 profit; the decoy pays for itself, and the $\geq 60\%$ 60-day conversion target keeps the branch honest.
- Split-plan closes at high paid CAC do not clear the growth bar alone (governor drops to ~\$32,000 base / ~\$51,000 with Block); this is why PIF is always presented first and why the financing rung exists: financed-full counts as functional PIF.

6. Negotiation internals (never client-facing)

- Client-financed acquisition is the engine: the 54% deposit alone finances roughly two further acquisitions at warm CAC. The deposit never softens; prepay is always presented first as the rewarded path.
- Financed-full buyers receive Full-Send incentives because Nikolytics is genuinely paid in full at signing. This rung is the single biggest cash-velocity lever in the model.
- Ladder health metric: the count of paid-in-full closes (including financed-full) must hold after the ladder goes live. If PIF count drops, full payers are leaking into the split; fix the script order before touching anything else.
- Staged micro-plays (activate by quarter, per the money model): prepay-as-rewarded framing and the +3% processing fee (waived for ACH/wire) go live with the first contracts; mid-plan balance clear (clear the remaining 46% at day 14, a fifth Growth Architecture Session attaches, \$7,500 stated value, deliberately smaller than Full-Send incentives so "at signing" is never diluted) and decline-recovery follow in Q4 2026; VC gift certificates (\$5,000 Blueprint certificates for investor partners) and the Blueprint revival winback (50% re-credit, \$12,500, named deadline) in Q1 2027; 4-week Engine billing (13 cycles/year) with the Engine.
- The Founding Partner anchor's price and framing are fixed; no rollover credits against it.
- Win Your Money Back mechanics: evaluated and declined (no refund-rate history to certify the gate; the guarantee is service-based with no refund mechanism).

7. Paid-ads internals (Q1 2027 earliest, all three public gates green first)

- Test budget per ad: 2x the 30-day collected cash of a new customer; kill at 1x with zero engaged leads. Ads only ever point at Teardown/Blueprint funnels: test ceiling \$50,000 per lead-producing ad, kill line \$25,000. Flagship-direct ads are mathematically untestable at our volumes; never run them.
- The \$200k intent stages as: Tranche 1 \$50k (two ads), Tranche 2 \$50k (unlock: one lead-producing ad and one ad-sourced Blueprint signed), Tranche 3 \$90k (unlock: measured CAC inside the governor, 3:1 end-to-end, 30-day collected cash from ad-sourced clients $\geq$ trailing spend). Permanent expected-loss pot: ~\$10k/year on zero-expectation tests. Re-scaling beyond Tranche 3 additionally requires referrals $\geq$ 25% of new clients on a trailing window.
- Phase-3 spend cap: ~2 paid-sourced Blueprints/month of demand at capacity $\rightarrow$ ~\$48,000/month maximum, further capped at 20% of trailing-90-day collected cash.

8. Hire and scale triggers (written so caps never surprise anyone)

Hire	Trigger
Content/outreach assistant (~\$6,000/mo)	60 consecutive working days of outreach at full quota with build slots still under 3-of-3, OR delivery forcing acquisition below the daily budget for two straight weeks
Named maintenance engineer (tenth seat)	Confirmed before the third client signs (open item)
Iteration pair (unlocks the Product Engine)	Engine waitlist depth justifies it; target window Q2 2027
Second maintenance engineer	Raises Evergreen cap past 6 and Extended Shield past 4
Fourth build team	Raises the post-launch week lane to two per month; also the ledger-fill trigger (ledger full twice in one quarter)
Marketing agency (learn-then-leave)	All three: cumulative collected platform cash $\geq$ \$500k; the ads gates met; \$60k-\$90k for 6 months earmarked from collected cash without touching delivery payroll. Run an internal person in parallel from day one; drop to consulting when internal beats agency

9. Unreviewed-items register (for the review pass on this manual)

Approved in spirit, pending Nikola's detailed sign-off during manual review:

1. Traction Block full spec: the two-Iteration-Week + Extended Shield bundle, the "Economist" pricing (A \$25k, B \$80k, C both at \$80k), the day-14 plant / day-25 close choreography.
2. Product Engine full spec: continuity bonus (Burn-Down Week, 6-cycle minimum), bulk prepay (5+1 at \$80,000, capped at half of active Engine clients), cancellation policy (fee equals bonus value consumed, waived on exit interview).

3. Commitment Ladder scripts, verbatim wording (financing rung phrasing, temperature check, Reserve terminus).
4. Micro-play details and their quarters (Section 6 above).
5. The Teardown pricing ladder's trigger to start charging (first free recipients start referring).
6. Any remaining channel-plan v1 mechanics worth salvaging into the rebuilt pipeline (A-C-A reply structure, 9-word re-warm email, greatest-hits content list, Monday test ritual).

Everything else in the operating manual reflects decisions already logged on 2026-07-03 or 2026-07-04.